

Co-founder and Managing Partner of Together Fund, a venture capital firm, adding that a lot of seed investments are happening in SaaS companies that are leveraging AI. On the other hand, Dev Khare, Partner at Lightspeed India says there was a sort of exuberance in the markets before the interest rate hikes. “But if you normalise for that, 2023 was up from 2022 and 2024 will be up from 2023,” he says. In fact, Lightspeed has put in about \$150 million to work in AI since the beginning of last year in India and Southeast Asia, and over \$1 billion in 70 companies globally over that time, he says.

THE GEN AI TREND

Some experts feel that India could be a source of breakthrough in Gen AI. Stephanie Buckner, COO of US-based computational intelligence firm Altair, says that most companies from other countries have their “AI competency centre sitting in India”. But incorporating Gen AI into large-scale personalisation systems is still expensive, says Ankur Gattani, Chief Growth Officer at WebEngage, a customer data platform and marketing automation suite that manages user engagement and retention. Zoho’s Vembu, however, dismisses Gen AI trend as “hype”.

Brands are looking to incorporate Gen AI into the simplest of functions to save time and cost and get more value, says Beerud Sheth, Co-founder and CEO of Gupshup, a unicorn and an AI-based messaging platform for businesses to communicate.

How should investors look at the Gen AI trend in the SaaS space? Sampat says that investors should look at what problem is being solved, whether the start-up’s solution solves for the core problem, and which technology is the right

THE GEN AI IMPACT ON SAAS

20%

Increase in TAM and
top line growth

30%

Rise in productivity across
engineering, product, GTM

40%

Improvement in SG&A
leverage

80%

Improvement in
developer satisfaction

GTM GO-TO MARKET STRATEGY,
SG&A SELLING, GENERAL AND
ADMINISTRATIVE EXPENSES
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fit, and then back firms. “Invest from the problem-solution point of view over whether we should back/build a Gen AI company or not,” she says. Sampat asserts that going back to the fundamentals of product solving is the right approach to investing. But Lightspeed’s Khare believes that cash flow is not an aim for early-stage start-ups in India. “Talking about cash flow, especially in a sector like AI, which is in its first couple of years, is not right,” he says.

THE WAY FORWARD

McKinsey’s Gupta says the penetration of Gen AI in SaaS is expected to be three times faster than that of traditional SaaS in the software industry. Gen AI is likely to unlock an additional \$200 billion in total addressable market (TAM) by 2027. “Six archetypes of Gen AI plays are emerging in the Indian SaaS industry: virtual agents, scenario modelers, workflow augmentation, co-pilots, conversational interfaces, and AI DevTools,” he says.

Sampat says India has a vast AI talent pool, where 20-25% of the total global talent sits here. “We have become the second largest SaaS economy in the world,” she says, adding that in 2021, the focus was not necessarily on profitability. “Investors are now examining start-ups’ road maps to cash efficiency as an important metric for deciding whether to invest.”

All SaaS stakeholders in India believe investments are on the rise, but they emphasise caution. The mantra for all is simple: Focus on solving real problems and adhere to investment fundamentals. While early-stage metrics are important, having a clear road map is crucial. **BT**

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